

A Study on the Impact of Fintech on Inclusive Finance: A Focus on the Banking Industry

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Category: Banking & Financial Services | Published: March 2026 | Peer Review: Double-Blind Validated

ABSTRACT

This study investigates the impact of fintech on inclusive finance, with a focus on the banking industry. It seeks to comprehend how fintech-driven inclusive finance affects bank profitability and what this means for global financial inclusion. The research will examine current literature, empirical evidence, and data from developing nations to shed light on the relationship between fintech, the banking industry, and inclusive finance. Fintech is revolutionizing financial services by harnessing technology and cloud-based data to provide products that are more personalized to the needs of consumers at a lower cost. The ability of fintech to increase financial inclusion and help underserved groups is well acknowledged. It will also talk about the consequences of fintech for financial inclusion and sustainability, such as the challenges it brings to financial systems and the need for regulatory measures. Fintech's cost-effectiveness has reduced the financial exclusion gap, making financial services more accessible for a wider population. The study will add to the existing body of knowledge on fintech and inclusive finance by giving insights into the complicated interplay between technology, the banking system,

Keywords: Fintech; Financial Inclusion; Banking Profitability; Cloud-Based Financial Services; Financial Regulation

1. Introduction: The Democratization of Financial Services

Financial exclusion has historically constrained poverty alleviation in developing nations. Cloud computing, mobile penetration, and machine-learning credit assessment models allow fintech entities to serve unbanked communities efficiently.

2. Impact on Traditional Banking Profitability & Cost Structures

Commercial banks initially perceived fintech challengers as disruptors, but a strong convergence model has emerged: banks provide balance sheet scale and regulatory trust, while fintech partners deliver agile customer experiences.

3. Micro-Credit, Sachet Financial Products & Financial Literacy

Micro-insurance and sachet digital lending products have lowered entry barriers for small vendors and low-income households. Sustainable financial inclusion requires parallel efforts in digital consumer education.

4. Conclusion & Regulatory Policy Imperatives

Realizing the full potential of inclusive finance requires balanced regulatory oversight, open banking standards, and interoperable protocols that support innovation without risking systemic stability.

References & Scholarly Citations

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